

to succeed. Yet all failed. Buffett paused. “You think about that,” he said sternly, his eyes scanning the room. “How could they get a result like that? I’ll tell you how—mindless imitation of their peers.”¹⁸

Taking the Measure of Management

Buffett would be the first to admit that evaluating managers along these dimensions—rationality, candor, and independent thinking—is more difficult than measuring financial performance, for the simple reason that human beings are more complex than numbers.

Indeed, many analysts believe that because measuring human activity is vague and imprecise, we simply cannot value management with any degree of confidence, and therefore the exercise is futile. Without a decimal point, they seem to suggest, there is nothing to measure. Others hold the view that the value of management is fully reflected in the company’s performance statistics—including sales, profit margins, and return on equity—and no other measuring stick is necessary.

Both of these opinions have some validity, but neither is, in my view, strong enough to outweigh the original premise. The reason for taking the time to evaluate management is that it yields early warning signs of eventual financial performance. If you look closely at the words and actions of the management team, you will find clues that will help you measure the value of the team’s work long before it shows up in the company’s financial reports or in the stock pages of a daily newspaper. Doing so will take some digging, and that may be enough to discourage the weak of heart or lazy. That is their loss and your gain.

For gathering the necessary information, Buffett offers a few tips. Review annual reports from a few years back, paying special attention to what management said then about the strategies for the future. Then compare those plans to today’s results; how fully were the plans realized? Also compare the strategies of a few years ago to this year’s strategies and ideas; how has the thinking changed? Buffett also suggests it can be very valuable to compare annual reports of the company in which you are interested with reports of similar companies in the same industry. It is not always easy to